

Multiple Choice

1. **Answer:** A

Options: A) Product differentiation and loss of perfect substitutability; B) Barriers to entry and exit in the market; C) High consumer loyalty to a single brand; D) Lack of government regulation; E) Constant production costs regardless of output levels

Note: Correct option: A - Product differentiation and loss of perfect substitutability

2. **Answer:** D

Options: A) Automobiles depreciate faster; B) Stocks and bonds are physically smaller; C) Automobiles are more expensive; D) Highly efficient and fast markets exist for stocks and bonds

Note: Correct option: D - Highly efficient and fast markets exist for stocks and bonds

3. **Answer:** A

Options: A) a decrease in the price of coffee.; B) an increase in consumer surplus due to lower coffee prices.; C) a persistent shortage of coffee in the market.; D) a decrease in the demand for coffee.; E) a decrease in consumer surplus due to higher coffee prices.

Note: Correct option: A - a decrease in the price of coffee.

4. **Answer:** D

Options: A) an elimination of consumer surplus.; B) a decrease in the demand for the good.; C) a decrease in producer surplus.; D) a persistent surplus of the good.; E) an increase in total welfare.

Note: Correct option: D - a persistent surplus of the good.

5. **Answer:** D

Options: A) the demand for goods and services decreases.; B) the stock market crashes.; C) bond prices fall.; D) the nominal interest rate falls.; E) the unemployment rate rises.

Note: Correct option: D - the nominal interest rate falls.

True / False

6. **Answer:** True

Options: A) True; B) False

Note: LLM-generated true statement based on MCQ.

7. **Answer:** True

Options: A) True; B) False

Note: LLM-generated true statement based on MCQ.

8. **Answer:** True
Options: A) True; B) False
Note: LLM-generated true statement based on MCQ.
9. **Answer:** True
Options: A) True; B) False
Note: LLM-generated true statement based on MCQ.
10. **Answer:** False
Options: A) True; B) False
Note: LLM-generated false statement. Correct answer: 'can be used by banks to make loans or buy investments.'

Long Form Response

11. **Answer:** To eliminate all taxes but a tax on land. Explain why this is the correct answer and provide supporting evidence. Reference key facts or concepts that support this choice.
Note: Long-form derived from MCQ; award credit for stating the correct idea and giving supporting reasoning.
12. **Answer:** When demand for stocks and bonds increases the asset demand for money falls.. Explain why this is the correct answer and provide supporting evidence. Reference key facts or concepts that support this choice.
Note: Long-form derived from MCQ; award credit for stating the correct idea and giving supporting reasoning.

End of Answer Key